

Executive Summary

Amazon FBA & FBM Seller Performance — FY2025

Gross Revenue	Net Profit	Profit Margin	ROI
\$579.98K	\$285.68K	49.26%	97.07%

Overview

The business closed FY2025 with \$579.98K in gross revenue and a healthy 49.26% net profit margin across 10 SKUs in five categories, split between FBA and FBM fulfillment. On the surface, the headline numbers — profit margin, ROI, and a lean 2.11% TACOS — describe a well-run, capital-efficient store. A previously flagged red flag — Customer Lifetime Value falling below Customer Acquisition Cost — has since been corrected after a measurement error was identified; CLV now exceeds CAC at a 1.45:1 ratio. The remaining structural issues worth leadership's attention are: a low repurchase rate relative to total customer count, sharp revenue concentration in a small number of regions and SKUs (with one region, US-West, currently unprofitable), and inventory sitting idle on several SKUs well past the point of efficient turnover.

Key Findings by Section

1. Profit & Sales — Healthy, but concentrated

- Kitchen (27.89%) and Home Office (22.46%) categories drive over half of gross revenue; Electronics Accessories contributes only 12%.
- US-South, US-Midwest, and US-East each generate \$135K–\$152K; US-West trails dramatically at just \$5K — a gap worth investigating rather than assuming it's demand.
- Refund rate is low and controlled at 2.72%, and net revenue shows a strong Q4 seasonal lift, though this growth has not yet been proven durable outside the holiday window.

2. Advertising / PPC — Efficient spend, unclear incremental impact

- \$12.24K in total ad spend produced a lean 2.11% TACOS, suggesting the business is not over-reliant on paid traffic to hit its revenue target.
- However, ad-driven revenue is only 0.84% of total revenue on 5K attributed orders — either the store is genuinely organic-dominant (a strength), or ad spend is under-scaled relative to its return and could be doing more.
- Return of ad spend by category shows Home Office and Sports as the strongest performers, a candidate area for reallocated budget.

3. Inventory & Operations — Working, but with visible friction

- Inventory turnover sits at 0.96 — stock is turning less than once per year, tying up cash that could otherwise fund acquisition or new SKUs.
- Stockout rate of 5.75% is directly suppressing sales on affected SKUs during outages, with downstream effects on organic ranking that won't show up until the following month's traffic.

- 139 inbound shipment defects and overstock exceeding 20–35% on several SKUs (Wireless Mouse, Phone Tripod Stand) point to supplier quality and reorder-quantity issues respectively.

4. Customers — Improved, but not yet fully healthy

- Customer Lifetime Value now stands at \$96.66 against a Customer Acquisition Cost of \$66.52 — a 1.45:1 CLV:CAC ratio. This corrects an earlier measurement error that had shown CLV below CAC; the underlying economics were never as bad as that number suggested, but a 1.45:1 ratio is still below the 3:1 ratio commonly used as a benchmark for a sustainably profitable acquisition model.
- Repurchase rate remains low at 6.98%, with 2,051 churn events recorded against 6,000 total customers — retention, not the CAC/CLV relationship, is now the more urgent lever.
- Sponsored Ads and Organic Search carry the highest average CLV by channel, ahead of External Traffic and Referral — acquisition spend is reasonably well-targeted, but volume from lower-CLV channels should still be watched.

Recommendations

- 1 **Invest in repurchase mechanics** (email/SMS win-back flows, subscribe-and-save, post-purchase follow-up) given the business currently classifies closer to Acquisition Mode than Loyalty Mode — the low 6.98% repurchase rate is now the single biggest lever on long-term CLV, and closing the gap toward a 3:1 CLV:CAC ratio.
- 2 **Diagnose the US-West revenue gap** before assuming it's a lost-cause market — the region is currently unprofitable, not just underperforming, so check for stockouts, Buy Box loss, or an FBM shipping-time issue specific to that region.
- 3 **Improve inventory turnover** by trimming reorder quantities on the SKUs currently showing 20%+ overstock, freeing cash without increasing stockout risk on faster-moving SKUs.
- 4 **Reallocate some ad budget toward Sponsored Display**, which shows the highest return of any campaign type despite the smallest current spend.
- 5 **Treat Q4's revenue lift as unproven** until at least one more holiday cycle confirms it isn't simply seasonal borrowing from future quarters.

Source: Amazon FBA & FBM Analytics Dashboard (Profit & Sales, Advertising, Inventory & Operations, Customer Metrics). Figures reflect FY2025 as captured in the underlying dataset.